

Company Law — PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Intermediate Level 1

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

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 9. Full worked question — pre-incorporation contracts and the corporate veil — full version only
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 11. Marking guide — model answers to the practice examination — full version only
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1. Nature and types of companies

A **company** is a legal entity, incorporated under the Companies Act, that exists separately from the people who own and run it. This separate legal personality is the foundation of company law: a company can own property, sue and be sued, and enter contracts in its own name, distinct from its shareholders and directors.

Common classifications:

- **Private company** — restricts the right to transfer its shares, limits its membership, and cannot invite the public to subscribe for its shares or debentures.

- **Public company** — may offer its shares to the public and, if listed, is subject to additional securities-market regulation.
 - **Company limited by shares** — members' liability is limited to any unpaid amount on their shares.
 - **Company limited by guarantee** — members' liability is limited to an amount they agree to contribute if the company is wound up (common for non-profit entities).
 - **Unlimited company** — members have unlimited liability for the company's debts (relatively rare in practice).
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Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CPA Company Law paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CPA INTERMEDIATE LEVEL 1 — COMPANY LAW (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings/reasoning clearly.

QUESTION ONE

- (a) Distinguish between a private company and a public company. (6 marks)
- (b) Explain the effect of a Certificate of Incorporation. (6 marks)
- (c) Explain the general rule on liability for pre-incorporation contracts, and state one way that liability can be shifted to the company. (8 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes incorporation and pre-incorporation contracts, the corporate veil and its exceptions, share capital and membership, directors' duties and removal, company meetings and resolutions, company borrowing and charges, winding up and dissolution, a fully

worked corporate-veil question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.